Bharat Heavy Electricals Limited

Industrials | Capital Goods | Latest FY: Mar-24 | ₹ Crore

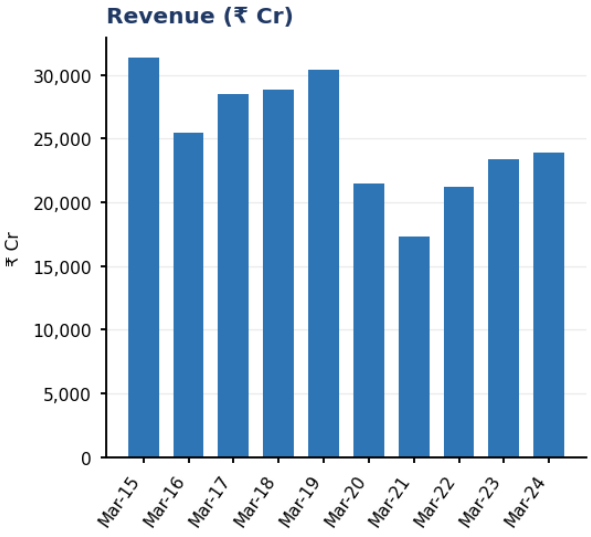
BHEL

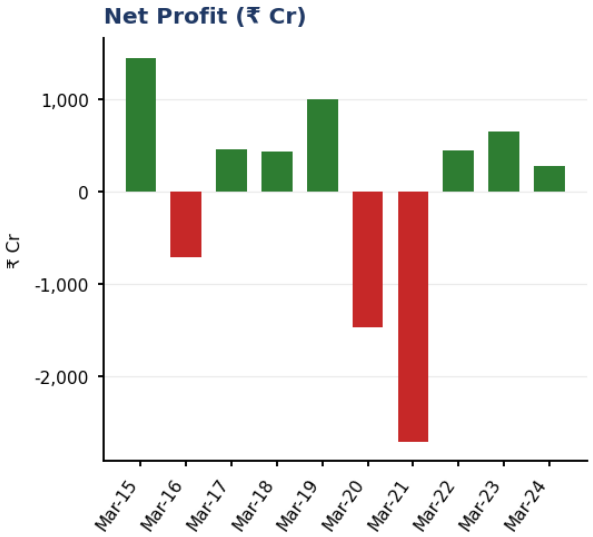
Key Performance Indicators

RETURN ON EQUITY	RETURN ON CAPITAL EMPLOYED	OPERATING PROFIT MARGIN
1.2%	**1.4%**	**3.0%**
▼ -1.5 pts vs Mar-23	▼ -1.2 pts vs Mar-23	▼ -1.5 pts vs Mar-23

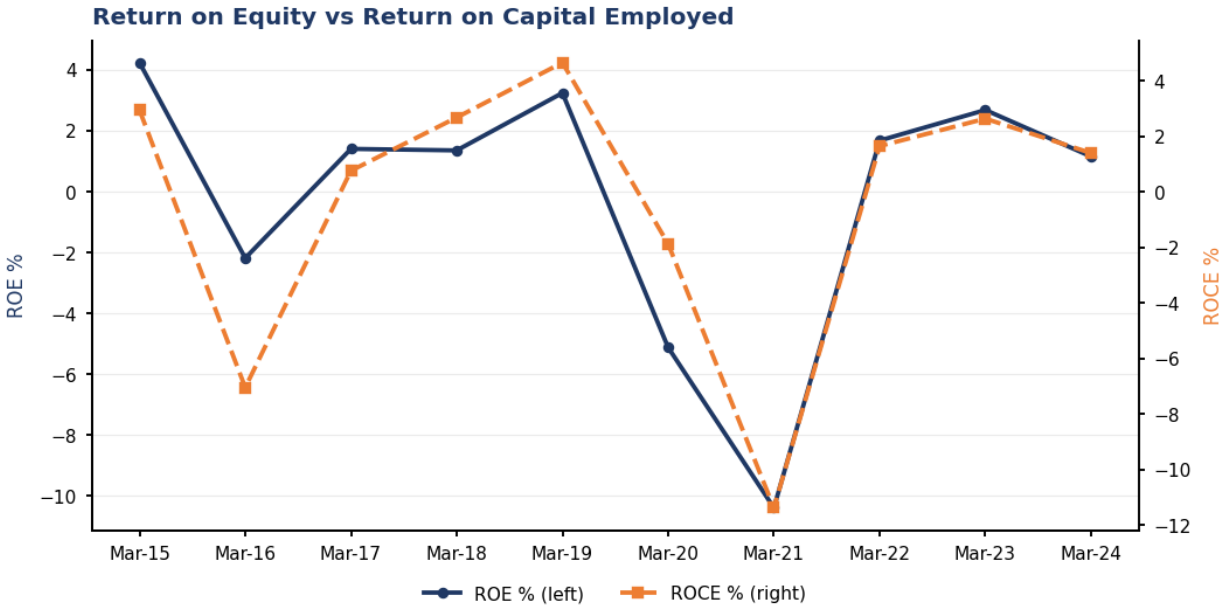
DEBT / EQUITY	REVENUE CAGR (5Y)	NET PROFIT CAGR (5Y)
0.36x	**-4.7%**	**-22.4%**
▲ +0.14x vs Mar-23	compound annual rate	compound annual rate

10-Year Revenue and Net Profit





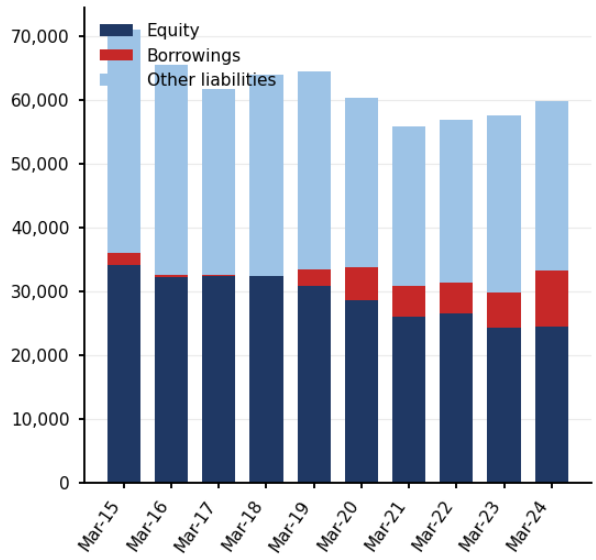
Return on Equity and Return on Capital Employed



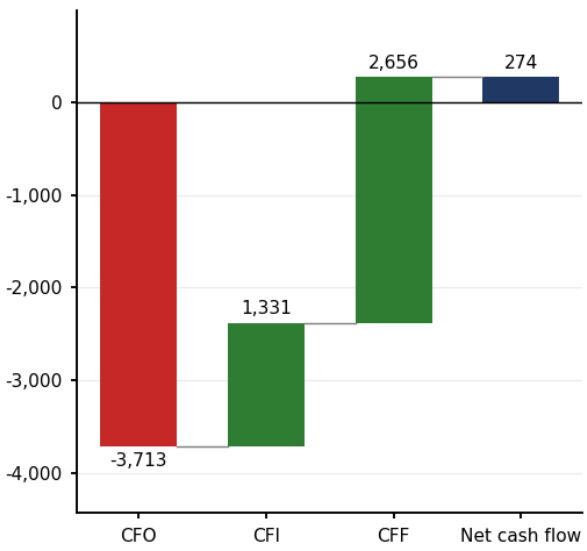
Source: company financial statements (annual). Pros/cons are rule-based with confidence scores; not investment advice.

Balance Sheet Composition and Latest-Year Cash Flow

Balance Sheet Composition (₹ Cr)



Cash Flow Waterfall – Mar-24 (₹ Cr)



Capital Allocation

Distress - Asset Liquidation

Pattern history (CFO / CFI / CFF signs): Mar-21: Reinvestor → Mar-22: Reinvestor → Mar-23: Distress - Asset Liquidation → Mar-24: Distress - Asset Liquidation

Cash Flow Intelligence

CFO QUALITY (5Y CFO/PAT)	CAPEX INTENSITY	FCF CONVERSION	FCF CAGR (5Y)	FLAGS
-4.27x	**5.5%**	**-81%**	**n/a**	**2 flags**
Accrual Risk	Moderate	FCF / operating profit	Loss-making	Distress signal

Pros

- Operating profit margin (3.0%) is the strongest of its core metrics relative to Industrials sector peers (median 17.4%) (65%)

Cons

- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (95%)
- Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum (95%)
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (91%)

Source: company financial statements (annual). Pros/cons are rule-based with confidence scores; not investment advice.